



The Guide to Restructuring - Fifth Edition

**Litigation takes centre stage:
understanding the Brazilian
bankruptcy landscape**

The Guide to Restructuring - Fifth Edition

The fifth edition of *The Guide to Restructuring* – edited by Richard J Cooper, Carina S Wallance, Theodore L Leonhardt and Lucas Davidenco of Cleary Gottlieb Steen & Hamilton – is designed to assist restructuring advisers of all disciplines, and affected companies, as they negotiate complicated restructurings. This Guide delivers specialist insight to our readers across the region – advisers, practitioners, corporate decision-makers and court officials – to help them navigate this complex process.

Generated: December 8, 2025

The information contained in this report is indicative only. Law Business Research is not responsible for any actions (or lack thereof) taken as a result of relying on or in any way using information contained in this report and in no event shall be liable for any damages resulting from reliance on or use of this information. Copyright 2006 - 2025 Law Business Research

Litigation takes centre stage: understanding the Brazilian bankruptcy landscape

Eduardo Augusto Mattar, Guilherme Bergamin de Barros and Ligia Novais de Oliveira

Padis Mattar Advogados

Summary

THE LITIGATION-CENTRED MODEL OF BRAZILIAN REORGANISATIONS

A DEBTOR-FRIENDLY JURISDICTION

SHORTCOMINGS OF THE BRAZILIAN BANKRUPTCY LAW

BRAZILIAN BANKRUPTCY LAW'S REFORM: STEPS TOWARD GREATER BALANCE

LITIGATION AS A TOOL TO LEVEL THE PLAYING FIELD

ACKNOWLEDGEMENTS

THE LITIGATION-CENTRED MODEL OF BRAZILIAN REORGANISATIONS

Brazilian judicial and extrajudicial reorganisations, as well as liquidation proceedings, are governed by Federal Law No. 11,101/2005, as amended by Federal Law No. 14,112/2020 (the Brazilian Bankruptcy Law).

Brazilian Bankruptcy Law provides a framework that has supported the recovery of numerous distressed companies. However, its shortcomings, together with the way courts interpret some of its provisions, often create imbalances by favouring debtors and their shareholders at the expense of creditors. As a result, reorganisation proceedings tend to unfold in a highly litigious environment, as creditors resort to litigation to defend their positions and bargaining leverage. That makes litigation not an incidental aspect, but a defining feature of the Brazilian restructuring system.

Practice confirms the structural role of litigation in Brazilian reorganisations. The extremely contentious nature of high-profile reorganisations throughout the years, such as OGX (2013), OAS (2015), Schahin (2015), Oi (2016 and 2023), Odebrecht (2019), Samarco (2021), Americanas (2023) and Intercement (2024), has put the Brazilian Bankruptcy Law to the test, and exposed several deficiencies in the restructuring system – some of which were addressed by the legislators in 2020, while others remain unresolved. Ultimately, legal tactics often determine the restructuring's outcome.

In this context, it is critical that creditors in Brazilian cases be prepared to deal with highly litigious processes, so as to maximise recovery, protect legal rights and priorities, and ensure transparency and reliable information. Any expectation of speedy, efficient, and purely mathematical restructuring will typically be met with frustration.

A DEBTOR-FRIENDLY JURISDICTION

The Brazilian restructuring system is shaped by a prevailing judicial philosophy that favours debtors. This orientation stems from the expansive interpretation of Article 47 of the Brazilian Bankruptcy Law,^[1] under which courts treat the preservation of debtors' going concern as a goal to be pursued almost at any cost. Judges routinely invoke broader policy concerns – such as protecting jobs, maintaining supply chains, safeguarding tax revenue – to justify procedural flexibility (e.g., by easing cram-down requirements),^[2] to intervene in debtor's agreements (e.g., by setting aside contractual exclusivity clauses),^[3] to intervene in the negotiation process more extensively (e.g., by setting aside creditor's vote)^[4] and to confirm controversial plans even when legal objections exist (e.g., confirming the plan of a utilities group holding binding its operating subsidiaries, even though the law expressly prevents such businesses from seeking judicial reorganisation).^[5]

This translates into a permissive environment where debtors may advance aggressive reorganisation plans, often with aggressive haircuts (as high as 90 per cent) and extensive grace periods (such as 30 or even 50 years). These plans frequently benefit shareholders rather than the enterprise, largely because the Brazilian Bankruptcy Law does not provide for an absolute priority rule – one of its shortcomings, addressed below. Nonetheless, courts have repeatedly confirmed such plans, citing the self-determination of the general creditor's assembly and the contractual nature of the plan, and often operate under the implicit assumption that doing so preserves the debtors' going concern and avoids liquidation.^[6]

In Brazil, there is an institutional aversion to liquidation, which is widely regarded as inefficient and value-destroying. Liquidation proceedings are lengthy, asset sales are routinely delayed or judicialised and recoveries for unsecured creditors are often negligible. Data from the Observatory of Insolvency illustrate this reality. The project, developed by the Insolvency Proceedings Study Centre at Pontifícia Universidade Católica – São Paulo (NEPI/PUC-SP) and the Brazilian Jurimetrics Association (ABJ), compiles docket-level information from the São Paulo State Court of Justice (TJSP) for all liquidation cases filed between 2010 and 2019.^[7] Out of 6,269 requests for liquidation, only 1,335 led to an actual decree of liquidation. Out of those, only four liquidations in the sample were finalised with the debts fully paid.

The result is a system that, by fear of liquidation, gives debtors advantages, including judicial deference, which allows them to dominate the reorganisation proceeding even where the proposed plan lacks economic feasibility. Creditors, in turn, seek to counterbalance the debtors' control through litigation – for example, challenging creditor classification, alleging related-party vote manipulation, requesting judicial injunctive relief and disputing over plan amendments or valuation. This dynamic reinforces why litigation is not incidental but a structural element of Brazilian reorganisations.

SHORTCOMINGS OF THE BRAZILIAN BANKRUPTCY LAW

As mentioned, the Brazilian Bankruptcy Law's shortcomings create structural imbalances between debtors and creditors and foster litigation. A few relevant features that contribute to that are:

- certain claims are excluded from the scope of judicial reorganisation and must therefore be fully paid or renegotiated separately;
- there being no absolute priority rule, allowing junior stakeholders to retain value even when senior creditors are impaired;
- debtors being able to compel the maintenance of contracts deemed essential to their operations without affording meaningful safeguards to counterparties; and
- there being no clawback period applicable to judicial reorganisations – only to liquidation – which fosters fraudulent transactions prior to the filing.

BANKRUPTCY-REMOTE CLAIMS

In Brazil, certain claims are excluded from judicial reorganisation proceedings. These include:

- tax claims, which are not subject to collective creditors' proceedings of any kind;^[8]
- claims secured by certain types of liens, such as fiduciary assignment, financial leases, or title-retention agreements;^[9] and
- certain export financings.^[10]

From the debtor's perspective, these exclusions reduce the effectiveness of the reorganisation proceedings, by carving out substantial claims from the collective restructuring. The debtor is forced to negotiate separately with these creditors, limiting the breathing space that the stay period is meant to provide and constraining the company's ability to stabilise its cash flow and operations. In cases where these claims represent a significant portion of the debt structure, the reorganisation plan may prove incapable of delivering a comprehensive and sustainable solution.

From the creditors' perspective, the asymmetric treatment of claims introduces inequities and creates unequal bargaining power. Creditors with claims subject to bankruptcy disproportionately bear the economic burden of the restructuring – through haircuts, extended maturities or other concessions – while creditors holding bankruptcy-remote claims may demand payment in full and on a more expedited manner. This unequal treatment undermines the principle of collective creditors' proceedings, creates incentives for creditors to structure transactions in ways that fall outside the bankruptcy framework and therefore results in significant conflicts and a more contentious environment.

ABSENCE OF AN ABSOLUTE PRIORITY RULE

Unlike Chapter 11 of the US Bankruptcy Code, which conditions any recovery by junior stakeholders on full payment (or consent) of senior creditors, Brazilian Bankruptcy Law does not incorporate an absolute priority rule. Because the system allows flexible value allocation, insiders and equity holders can retain interest even when creditors are subject to substantial haircuts or extended maturities. Controlling shareholders frequently take advantage of this flexibility and often emerge from the judicial reorganisation proceedings with meaningful equity positions, notwithstanding significant creditor losses.

An illustrative case is the judicial reorganisation of OGX, where shareholders retained 10 per cent of equity in the fully deleveraged company, or Novonor (formerly Odebrecht), where shareholders preserved their full equity interest while the satisfaction of huge impaired claims was limited to proceeds from the potential sale of specific equity stakes in other companies, such proceeds also to be shared with shareholders.

This dynamic undermines the allocative function of bankruptcy proceedings. Rather than redistributing value in line with contractual and legal priorities, the process frequently preserves the *status quo* – entrenching shareholder control, insulating insiders and diluting creditor governance rights. While courts justify deep haircuts and long grace periods as necessary measures to preserve the debtor's going concern (see 'A debtor-friendly jurisdiction' above) or merely as a result of negotiation between debtors and creditors, in practice such measures often safeguard equity interests at the expense of fair creditor treatment.

MAINTENANCE OF EXECUTORY CONTRACTS WITHOUT MEANINGFUL SAFEGUARDS

Chapter 11 of the US Bankruptcy Code provides safeguards for counterparties that continue performing under executory contracts. The automatic stay prevents termination solely based on insolvency clauses (*ipso facto* provisions) and the debtor may either assume or reject the contract. If it assumes, it must cure past defaults, compensate the counterparty for related losses, and provide adequate assurance of future performance. If it rejects, the counterparty receives a prepetition unsecured claim for damages. Additionally, any obligations arising post-petition are treated as administrative expenses, which carry priority over general unsecured claims. The system thus balances the preservation of the debtor's operations with meaningful protection for creditors that remain contractually bound.

By contrast, Brazilian Bankruptcy Law does not establish how executory contracts should be treated once a judicial reorganisation proceeding begins. Article 49, paragraph 2, provides only that pre-petition obligations remain subject to their original contractual or statutory terms – including interest and other charges – unless the reorganisation plan establishes otherwise.^[11] Based on an extensive interpretation of Article 6,^[12] courts usually allow debtors to compel the continuation of contracts deemed essential to their business, even

against the counterparty's will, provided post-petition consideration is kept current. There is no equivalent to the US requirement of adequate assurance of performance, nor a comprehensive administrative expense priority for the respective post-petition claims.

Recently, the Superior Court of Justice – Brazil's highest court for non-constitutional matters – decided that a reorganisation court may compel the renewal of a debtor's contract that had already expired.^[13] By majority opinion, the court tempered the principles of party autonomy and limited judicial intervention, reasoning that public interest and the preservation of the debtor's going concern should prevail. The decision argued that the contract accounted for more than 70 per cent of the debtor's revenues and would be essential to the preservation of the company. Fortunately, this decision was later suspended by the Supreme Court – but it does show the types of incentives to disputes afforded by courts.

ABSENCE OF A CLAWBACK PERIOD

Unlike Chapter 11 of the US Bankruptcy Code, which provides a 90-day statutory look-back window (or one-year in the case of related parties) during which transactions made by the debtor prior to insolvency can be challenged and unwound if they are deemed preferential or fraudulent, the Brazilian Bankruptcy Law does not provide for a clawback period in reorganisation proceedings – only in liquidation.^[14] This facilitates debtors performing preferential (or even fraudulent) transactions before filing for reorganisation, which obviously also contributes to a more litigious environment.

For example, in an appeal related to the Abengoa reorganisation proceedings, a major creditor failed to collect its debt,^[15] despite evidence that the debtor companies were engaging in fraudulent disposal of assets and weakening the collaterals. The appellate court ruled that the reorganisation proceedings following questionable transactions were not compelling enough evidence to prove the practice of fraudulent acts.

Although creditors may seek to unwind transactions deemed fraudulent through a fraudulent conveyance action – if successful, the challenged acts are reversed for the benefit of all creditors – pursuing this remedy takes time and carries significant risks, particularly the obligation to pay court-awarded attorney fees if unsuccessful (*honorários de sucumbência*),^[16] between 10 per cent and 20 per cent of the fraudulent transaction. So, this is very frequently replaced with several other types of creditor disputes (among themselves, or with the debtor) within the reorganisation proceeding itself, also contributing to turning it into a more contentious process.

BRAZILIAN BANKRUPTCY LAW'S REFORM: STEPS TOWARD GREATER BALANCE

While the Brazilian Bankruptcy Law still has notable shortcomings, the 2020 reform addressed other concerns by introducing mechanisms meant to curb debtor dominance and enhance creditor participation.

COMPETING OR ALTERNATIVE PLANS

The inclusion of the possibility of competing creditor-sponsored plans in the 2020 reform marked a significant shift from Brazil's debtor-centric restructuring tradition. Under the revised law, creditors are now empowered to propose an alternative reorganisation plan within 30 days after the debtor's plan is rejected.^[17] To do so, the proposal must be supported by creditors representing either 35 per cent of total claims or 25 per cent of voting claims present in the meeting that rejected the plan.^[18]

The competing plan must meet the same formal requirements as a debtor plan and is subject to the same voting thresholds. Once approved, it proceeds to judicial confirmation, provided it satisfies legality, feasibility and procedural regularity.^[19]

This mechanism alters bargaining dynamics in important ways. It allows creditors to go beyond mere veto power and take a proactive role in shaping the restructuring outcome. More importantly, it gives judges an alternative pathway to preserve the company under Article 47 of the Brazilian Bankruptcy Law, even when the debtor's proposal is economically unbalanced or unviable. Judges who might have previously approved questionable debtor plans just to avoid liquidation may now confirm a creditor-led plan instead – not out of doctrinal preference, but as a pragmatic measure to prevent asset dismemberment and systemic inefficiencies. The competing plan provides a bridge between creditor rights and judicial goals.

The tool also serves as an *ex ante* incentive for debtors to behave better. Knowing that creditors can propose an alternative plan – potentially one that strips control from the shareholders or dilutes their equity – debtors may be incentivised to offer more equitable and commercially-viable plans. The mere threat of a competing proposal can improve the quality of negotiations and reorient the process toward real economic solutions.

However, the effectiveness of competing plans still depends on institutional capacity. Creditors must coordinate, obtain financing and navigate complex legal procedures – all within tight time frames. Judges must interpret and apply the rules fairly, especially when creditor plans propose significant changes in ownership or management. Moreover, theoretical uncertainties persist regarding the limits of what a creditor plan can impose on equity holders without consent, raising constitutional and corporate law questions.

Still, the creation of the competing plan represents an important innovation in the Brazilian restructuring system. It acknowledges the need for procedural symmetry and economic realism in the insolvency regime. If properly implemented, it may mark the beginning of a shift away from litigation-as-default and toward a more transparent, participatory and balanced restructuring environment.

REORGANISATION FINANCING

Another significant innovation of the 2020 reform was the explicit authorisation of debtor-in-possession financing.^[20] As amended, the Brazilian Bankruptcy Law allows debtors in reorganisation to obtain financing, secured by liens or fiduciary transfers over non-current assets of the debtor or third parties, for the purpose of funding ongoing operations, restructuring expenses or asset preservation. Such financing enjoys priority in the event of liquidation, ranking as a bankruptcy-remote claim,^[21] and its validity is preserved even if the authorising decision is later reversed on appeal, provided the funds have already been disbursed.

Financing may be provided by any party – including existing creditors, shareholders, family members or entities within the debtor's corporate group – and may also be guaranteed by third parties.

This framework bears similarities to the 'DIP financing' regime under Chapter 11 of the US Bankruptcy Code. In both jurisdictions, post-petition financing is afforded special priority to encourage fresh capital injections into distressed companies. However, important differences remain. In the United States, DIP financing is a mature practice supported by a

consolidated market, with statutory protections such as super priority claims, priming liens and detailed court approval mechanisms. The Brazilian Bankruptcy Law, by contrast, while now providing for bankruptcy-remote priority and certain collateral enhancements, lacks the same market depth, creditor protections and judicial experience that have made DIP financing a cornerstone of US reorganisations.

Overall, the reform represents a step toward aligning with international practices, but in reality the availability of reorganisation financing remains limited. The market has yet to develop a steady pipeline of DIP lenders, and uncertainties persist regarding judicial interpretation of the new provisions, enforcement of pre-existing lien and risk pricing in the absence of a secondary market.

LITIGATION AS A TOOL TO LEVEL THE PLAYING FIELD

Although the Superior Court of Justice has stated that creditors should not be regarded as ‘adverse parties’ because reorganisation proceedings are not actual disputes,^[22] in practice these cases are highly contentious.

The framework described above explains why litigation has become a structural feature of Brazilian reorganisations. In an environment where courts tend to adopt a debtor-friendly stance centred on preserving the business at any cost, and where the law and the courts give way to a myriad of uneven circumstances, creditors are very often pushed to use litigation as one of the few tools available to counterbalance their weaker position. In the absence of safeguards that ensure payment priority over junior stakeholders, protections against being compelled to continue executory contracts, or a clawback period to challenge prepetition transactions, creditors rely on lawsuits and procedural tactics to protect their rights and influence outcomes.

By way of example, in reorganisation proceedings such as Oi’s, the second largest of their kind in Latin America, creditors extensively litigated several matters, such as recognition of the authority of foreign trustees,^[23] voting issues^[24] and several other topics that would not have been otherwise disputed in systems free of the flaws that incentivise litigation over an efficient and mathematical restructuring process.

The 2020 reform sought to reduce this imbalance by creating protections and mechanisms for greater creditor participation in the solution. Still, these are recent and still lack significant testing. Their practical impact will depend on how courts interpret and apply them, and on whether creditors can coordinate effectively to use them. For now, litigation still remains not incidental but central to the functioning of Brazil’s restructuring regime.

ACKNOWLEDGEMENTS

The authors thank Mr. Luis Guilherme Moraes Martins for his invaluable assistance with the research.

ENDNOTES

^[1] ‘Article 47. Judicial reorganisation seeks to facilitate the debtor’s recovery from economic and financial distress, with the aim of preserving the productive enterprise, protecting employees’ jobs, and safeguarding creditors’ interests, thereby ensuring the preservation of the company, the fulfillment of its social function, and the stimulation of economic activity’ (free translation).

- ^[2] Superior Court of Justice, Fourth Panel, Special Appeal No. 1,337,989/SP, Reporting Justice Luis Felipe Salomão, 8 May 2025; Superior Court of Justice, Fourth Panel, Internal Appeal in the Appeal in the Special Appeal 1,551,410/SP, Reporting Justice Antonio Carlos Ferreira, 29 March 2022.
- ^[3] Superior Court of Justice, Third Panel, Special Appeal No. 1,969,623, Reporting Justice Humberto Martins, 28 April 2025.
- ^[4] São Paulo Appellate Court, Second Business Chamber, Interlocutory Appeal No. 2259720-45.2021.8.26.0000, Reporting Judge Sergio Shimura. 31 August 2022.
- ^[5] Rio de Janeiro Appellate Court, Third Business Chamber, Lawsuit. No. 0843430-58.2023.8.19.0001, Judge Luiz Alberto Carvalho Alves, 18 June 2024.
- ^[6] Superior Court of Justice, Fourth Panel, Special Appeal No. 1,587,559/PR, Reporting Justice Luis Felipe Salomão, 6 April 2017.
- ^[7] Available at: <https://ndtj.com.br/projetos/falencias-sp/>.
- ^[8] Article 187 of Federal Law No. 5,172/1996 (the Brazilian National Tax Code).
- ^[9] Article 49, paragraph 3, of the Brazilian Bankruptcy Law.
- ^[10] Article 86, item III, of the Brazilian Bankruptcy Law.
- ^[11] 'Article 49. All claims existing on the date of the filing are subject to judicial reorganisation, even if not yet due. (...) Paragraph 2. Obligations entered into before the judicial reorganisation shall observe the conditions originally contracted or established by law, including with respect to charges, unless otherwise provided for in the reorganisation plan' (free translation).
- ^[12] 'Article 6. The declaration of bankruptcy or the granting of judicial reorganisation proceedings shall entail: I – the suspension of the statute of limitation period applicable to the debtor's obligations subject to the regime established under this Law; II – the suspension of enforcement proceedings filed against the debtor, including those brought by private creditors of the jointly liable partner, insofar as they relate to claims or obligations subject to judicial reorganisation or liquidation; III – the prohibition of any form of withholding, attachment, levy, sequestration, search and seizure, or judicial or extrajudicial lien over the debtor's assets, arising from judicial or extrajudicial proceedings whose claims or obligations are subject to judicial reorganisation or liquidation. (...) Paragraph 7-A. The provisions of items I, II and III of the caput of this Article shall not apply to the claims referred to in paragraphs 3 and 4 of Article 49 of this Law. However, the judicial reorganisation court shall have jurisdiction to order the suspension of enforcement measures levied against essential capital assets necessary for the continuation of the debtor's business activities during the stay period referred to in paragraph 4 of this Article. Such suspension shall be implemented through judicial cooperation, in accordance with Article 69 of Law No. 13,105 of March 16, 2015 (the Civil Procedure Code), subject to the provisions of Article 805 of said Code' (free translation).
- ^[13] Superior Court of Justice, Third Panel, Special Appeal No. 2,218,453/AL, Reporting Justice Ricardo Villas Bôas Cueva, Reporting Justice for the opinion Humberto Martins, 19 August 2025.
- ^[14] Articles 129 et. seq. of the Brazilian Bankruptcy Law.

^[15] São Paulo Appellate Court. Twentieth Chamber of Private Law. Interlocutory Appeal No. 2037068-91.2016.8.26.000. Reporting Judge Alvaro Torres Junior. August 15, 2016.

^[16] Honorários de sucumbência is a peculiar rule in Brazil: the unsuccessful party in court proceedings is ordered to pay legal fees not to the successful party, but to their attorneys (Article 85 of Federal Law 13,105/2015, as amended (Brazilian Civil Procedure Code) and Federal Law No. 8,906/1994). Unless specifically agreed otherwise between the prevailing party and their counsel, those fees belong to the latter. The law provides that, unless a state or state-controlled entity is a party, fees must be set between 10 percent and 20 percent of either (i) the awarded sum, (ii) the economic benefit of the award, or (iii) the amount in dispute as stated in the statement of claim (where neither of the first two criteria otherwise applies).

^[17] Article 56, paragraph 4 of the Brazilian Bankruptcy Law.

^[18] Article 56, paragraph 6 of the Brazilian Bankruptcy Law.

^[19] Article 58 of the Brazilian Bankruptcy Law.

^[20] Article 69-A et. seq. of the Brazilian Bankruptcy Law.

^[21] Article 84 of the Brazilian Bankruptcy Law.

^[22] Superior Court of Justice, Third Panel, Special Appeal No. 1,324,399, Reporting Justice Paulo de Tarso Sanseverino, 3 March 2015.

^[23] Rio de Janeiro Appellate Court, Eighth Chamber of Private Law, Interlocutory Appeal No. 0030272-79.2017.8.19.0000, Reporting Judge Cezar Augusto Rodrigues Costa, 17 July 2017.

^[24] Rio de Janeiro Appellate Court, Eighth Chamber of Private Law, Interlocutory Appeal No. 0063670-17.2017.8.19.0000, Reporting Judge Mônica Maria Costa, 2 February 2019.

PADIS•MATTAR

ADVOGADOS

Eduardo Augusto Mattar
Guilherme Bergamin de Barros
Ligia Novais de Oliveira

eamattar@padismattar.com.br
 gbarros@padismattar.com.br
 loliveira@padismattar.com.br

<https://www.padismattar.com.br/>

Read more from this firm on LL